

Axar Digital Services Pvt. Ltd.

IFCo User Manual

Target audience: Designated Persons

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Introduction to IFCo

IFCo is a software solution designed by Axar to ensure compliance with the requirements of SEBI (Securities and Exchange Board of India) (Prohibition of Insider Trading) Regulations 2015 (Herein after PIT) pertaining to Insider trading. It is a web- based application which helps the Compliance Officer to follow the PIT Regulation adequately.

IFCo creates and maintains a Structured Digital Database (SDD) which is non-tamper able, highly secure and provides the Compliance Officer with an audit trail of all transactions. IFCo also serves the purpose of maintaining Unpublished Price Sensitive Information (UPSI) and insiders' details electronically. From July 17, 2020, SEBI made the Structured Digital Database (SDD) requirement, under the Prohibition of Insider Trading (PIT) regulations, 2015, mandatorily applicable to Intermediaries (regulated by SEBI, including Banks, Insurance Cos, Brokers, etc) and Fiduciaries (such as Statutory and Secretarial Auditors, Solicitors or Legal advisors, Management Consultants, etc).

Compliance Officer (CO) can be said to have complied with PIT Regulations by using InsiderLens IFCo. The solution also helps Compliance Officer in generating various required reports. Activities like Alert for Window Closure to all Designated Persons, recording of declarations by Designated Persons (DPs), reporting of trades and disclosures etc., are facilitated through the solution. The solution also has data encryption for ensuring database security.

Features:

Following are some key features of InsiderLens:

- Alert for Trading Window Closure (TWC) to all Designated Persons.
- Recording of declarations by Designated Persons (DPs).
- Easy reporting of trades and disclosures.
- Timely alerts and reminders to prevent insiders from trading in violation of the Regulation.
- Keeping track of trade intimation and trade requests.
- Providing authentication to ensure database security.
- Generates various reports such as Insider Report, Periodical Disclosure Report, Deviation Reports and UPSI Shared Report at a single click.

Advantages:

- Ensures compliance with the requirements of SEBI (PIT) Regulations, 2015, updated till July 17, 2020.
- A web-based application that helps the Compliance Officer (CO) in –
 - Maintaining the records of trading done by Designated Persons (DPs).
 - Facility to attach pre-clearance approvals for trading if required.
 - Sending notifications for Closing and opening of Trading Windows.
 - Alerting insiders to prevent them from trading when in possession of UPSI.
 - Recording the activities of Connected Persons (CPs), Immediate Relatives (IRs), Material Financial Relationships (MFRs) who may have access to Undisclosed Price Sensitive Information (UPSI), in relation to trading of Company securities.

Getting Started

IT Infrastructure Prerequisites

The InsiderLens system is installed on the **company's** premises. A server with the following specifications is a minimum requirement for 1 instance.

The I.T. infrastructure pre-requisites for implementing InsiderLens are:

Server Hardware (Minimum requirements)

- Processor: Quad Core
- RAM 8 GB
- 2 x 3.5" SAS (15K RPM) 300GB (up to 20 thousand documents of 5MB average size) •
HDD Partitions: D Drive: Remaining out of 300GB.
- Uninterrupted Power Supply
- DVD Writer, Monitor, Keyboard and Mouse

License Software for Server (Minimum Requirements)

- OS: Windows Server 2012R2 64-bit Standard Edition
- Server Antivirus software
- SSL Certificate for secured Internet (Optional. As per your organizations security policy)
- MS Office 2010 Standard Edition 32-bit or higher

Client Machine Specification

- Any PC with 4 GB RAM
- IE (Internet Explorer) 11.0 or higher version browser / Google Chrome latest version / Mozilla Firefox latest version

Network Bandwidth

- Intranet: 100 Mbps LAN.
- Internet: Dedicated 2 Mbps speed to bear load of less than 15 simultaneous users

Types of users

The InsiderLens system is primarily designed to be used by 2 types of users namely - the Compliance Officer and Designated Persons.

Compliance Officer (CO)

The Compliance Officer is responsible for legal and regulatory compliance under SEBI (Prohibition of Insider Trading) Regulations, 2015. She/he is responsible for compliance of policies, procedures, maintenance of records, monitoring, and preservation of Unpublished Price Sensitive Information (UPSI), monitoring of trades and implementation of the codes specified in the regulations.

The Company Secretary of the Company or any other senior officer is designated by the Board of Directors to serve the above-mentioned purpose. The so-designated Officer is called Compliance Officer for these regulations. (Hereinafter Compliance Officer is referred as CO)

Designated Person (DPs)

Under the SEBI (Prohibition of Insider Trading) Regulations 2015, Designated Person means any Promoter, Director, Senior Management Official etc. as defined under the Code of Conduct framed under these regulations by the Company. Whoever, so defined under the Code, would be termed as Designated Person for these regulations. (Hereinafter Designated Person is referred as DP (Designated Person))

Designated Person (DP) mostly includes the following:

- All the Directors on the Board of the Company, all Directors of the Company's subsidiaries, and associated entities.

- The Promoters of the Company including the members of the Promoters' Group.

- All specified Employees of the Company, its subsidiaries, and its associated entities.

- Such other person or persons as the Compliance Officer may specify to be covered as DP under the company's Code of Conduct under these regulations.

There are a few more User Roles given in the software which are Secondary approver and UPSI originator.

UPSI Originators

UPSI originator is a role assigned by Compliance Officer to any Designated Person (who is already added as User in the software), who is in possession of UPSI and wishes to report the same in the software. The user with UPSI Originator role would be able to add any UPSI details in his/her possession and report the same to Compliance Officer. While adding, the person will also be able to mention the name of other persons with whom such UPSI details are shared.

Secondary Approver

Secondary Approver is a role assigned when a Trade Request is made by the CO herself/himself. In such a situation, the Board of Directors of the Company can appoint a person to whom the Secondary Approver role is assigned, and then the Secondary Approver will be able to approve or disapprove the CO's Trade Request. Further, this role can also be assigned to any other person, in the situation where the CO is unable to discharge his obligations or is on leave, to ensure compliance under these PIT regulations.

Designated Person privileges

The Designated Person can perform various tasks as shown in the figure below:



Managing Dashboard

After login, Dashboard of each DP shows the list of their Client/Restricted companies, list of UPSI held or shared by user and provides the status of Trading Window Closure Notices i.e., Open or Closed for the respective company along with Client Company, Closed from date and Open from Date.

- **Trading Window Closure Notices:**

Under this tab, user will get to know the status of Trading Window Closure Notices i.e., Open or Closed for the respective company along with Client Company, Closed from date and Open from Date.

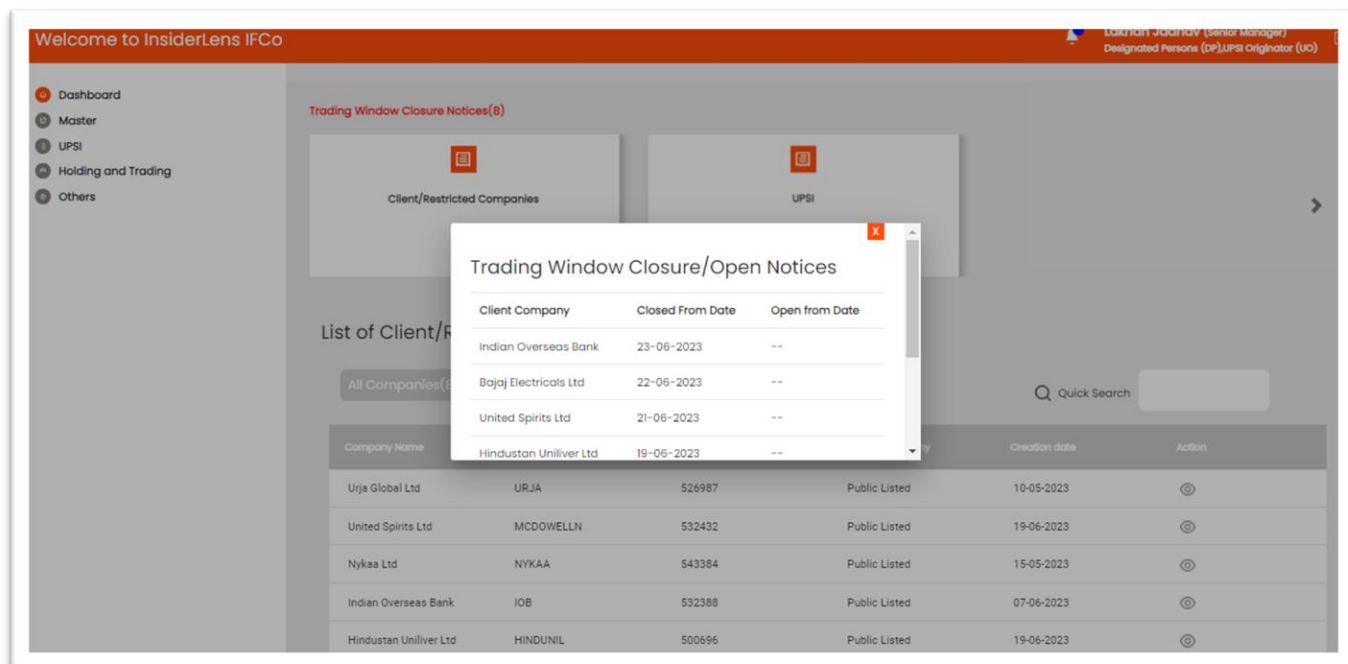


Figure 1.1: Dashboard View

- **Client/Restricted Companies:**

Under this panel, when user clicks on this, list of all assigned Client/Restricted companies will be displayed on dashboard page with Company Name, NSE Code, BSE Code, Class of Company, Creation Date and Action. Under 'Action' column, user can view and edit the company details.

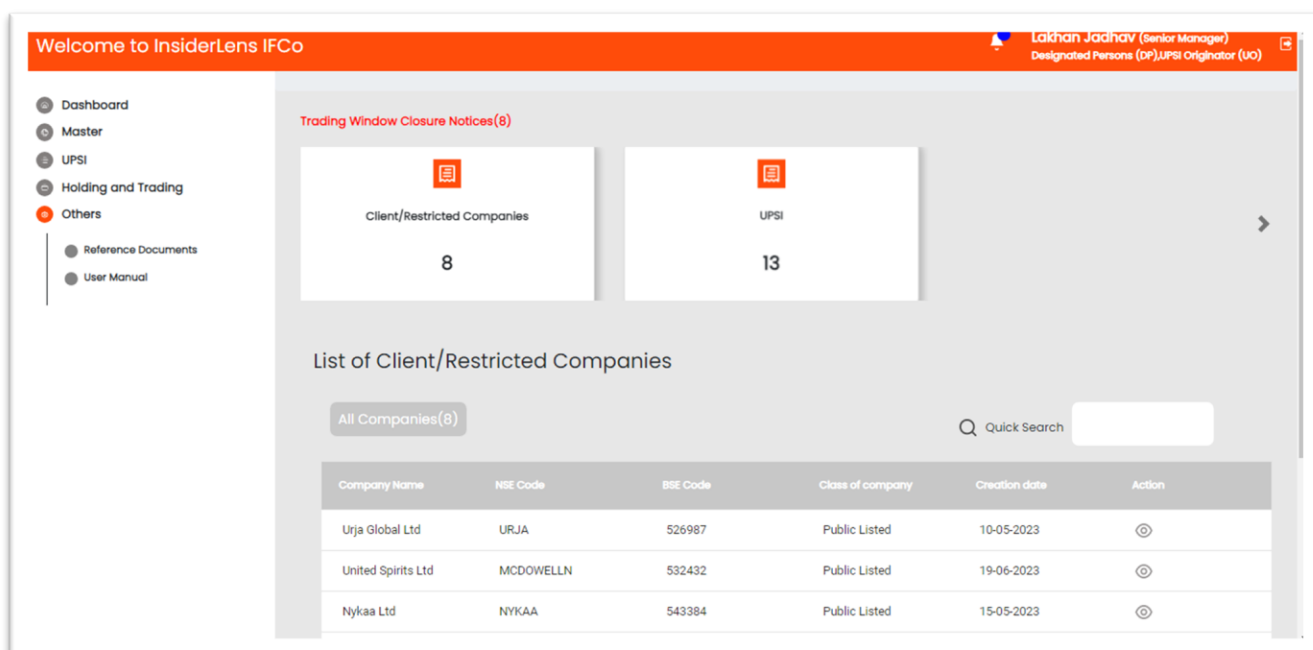


Figure 1.2: Dashboard View

- **UPSI:**

Under this panel, when user clicks on this, list of all UPSIs (Unpublished Price Sensitive Information) held or shared by user will be displayed along with 'Client/Restricted company name', 'Shared by' person, 'External person name', Date of sharing UPSI, 'Persons shared with', Category of UPSI, Closure/Disclosure date, Timestamp, last Modified date, Action, and Record ID. Under 'Action' column user can view the UPSI shared details also they can share the UPSI which have already been shared with them, till the time UPSI does not become public information.

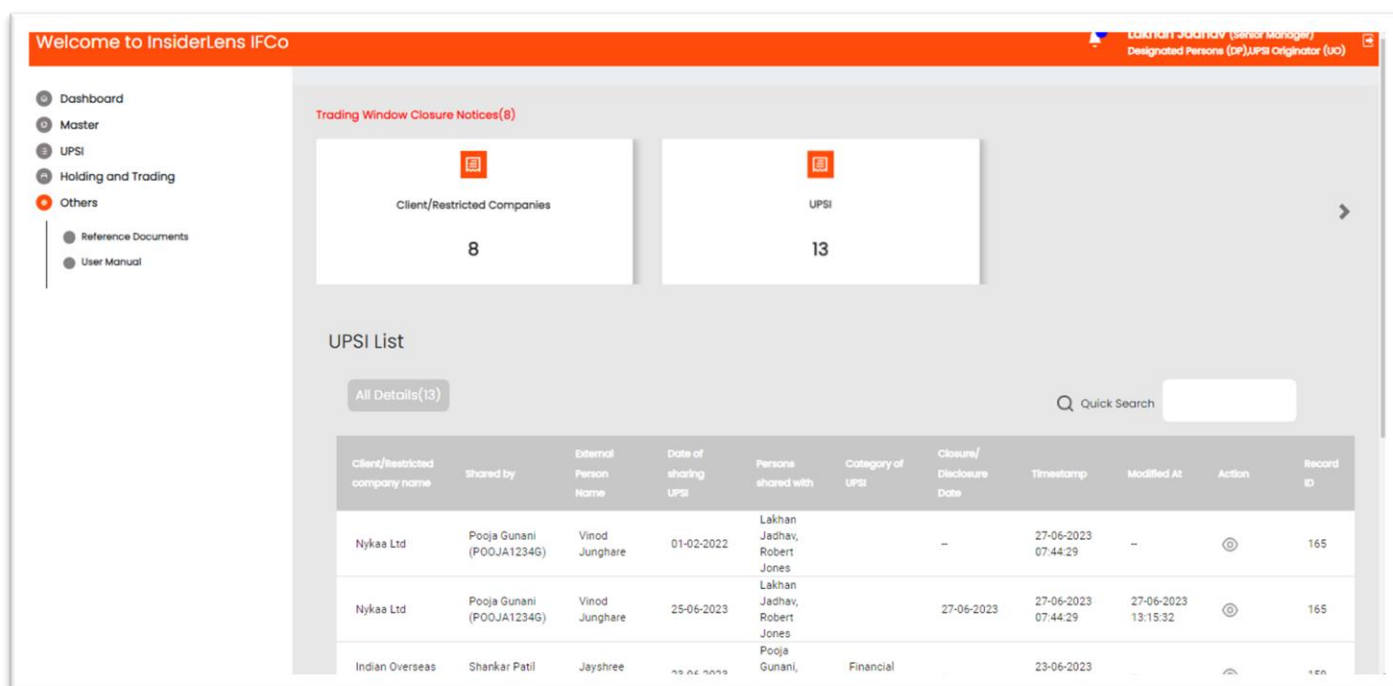


Figure 1.3: Dashboard View

Managing Client/Restricted Company

Designated Person (DP) as per SEBI (PIT) Regulations means any Promoter, Director, relatives of Director, Senior Management Officials etc. as defined under the Company's Code of Conduct. Whoever, so defined under the Code, would be termed as Designated Person for these regulations.

Viewing Client/Restricted Company:

For DP Login, the DP would be able to view all the list of Client/Restricted Companies which are assigned to them. DP would also be able to edit the company details by clicking on 'View' icon under Action column.

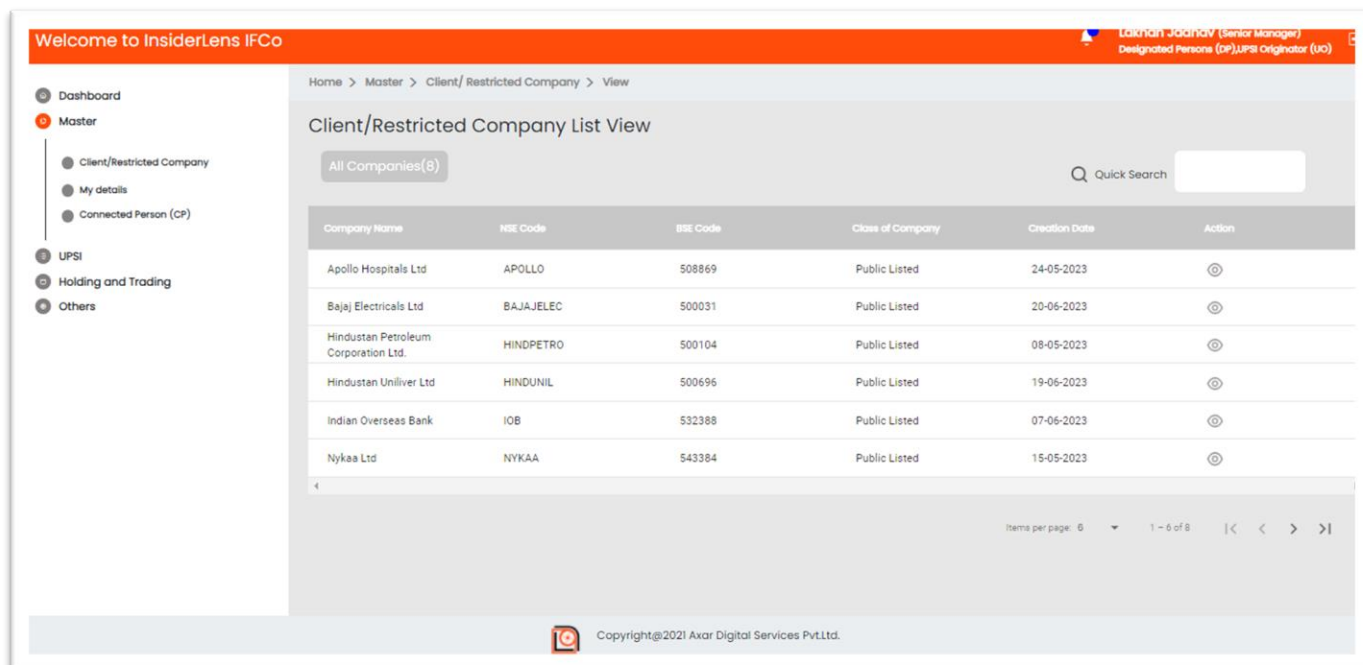


Figure 2.1.1: View Client/Restricted Company

Adding Client/Restricted Company:

Under this tab, the DP will be able to add the Client/Restricted Company. DP needs to add all the mandatory details as shown in below fig. 2.1.2.

Welcome to InsiderLens IFCo

Home > Master > Client/Restricted Company > Add

Client/Restricted Company

1 Basic Details

Company Name *

NSE Code

BSE Code

CIN Number *

Registration Date *

Nature of Business *

Class of Company

Private Public Listed Public Unlisted

Company PAN *

Company Website *

Class of Security Listed *

Equity shares Redeemable preference shares Debentures Other securities

Company has

Material subsidiary company Associate company Joint venture company Non-material subsidiary company Holding company NA

2 Address Details

Next

Figure 2.1.2: Add Client/Restricted Company

My Details

Under this tab, DP can View/Edit their own information. The details would include DP's Basic details, ID Information, Other Details (Designation, Department, Education details, Past Employment Details). DP must enter all mandatory details requested by clicking on edit option.

Welcome to InsiderLens IFCo

Home > Master > My Details > View

All Users(1)

Quick Search

InsiderLens ID	First Name	Last Name	PAN	Address	Category of Person	Mobile No.	Date of Addition	Date of Cessation	Remark for Cessation	Action
636-500790	Lekhan	Jadhav	LAKHA1234J				02-02-2021			

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Figure 2.2.1: Viewing My details.

Managing Connected Person

Connected Person means any person who is or has been associated with the Company or a DP for six months prior, in any capacity and has direct or indirect access to Unpublished Price Sensitive Information (UPSI). Such a Connected Person can include any officer or employee of the Company or person who holds any position between himself and the Company whether temporary or permanent, any banker of company or any other third-party providing services to company. Connected Person can also include any other person as defined under Code of Conduct of Company under PIT Regulations.

Connected Persons are categorized into three types: Immediate Relatives (IR), MFR Material financial relationship (MFR) and Other Entities (OE) can be seen in one view i.e., Connected Person > View.

Viewing Connected Person

For DP Login, the DP would be able to view data about the Connected Persons related to herself/himself and would be able to edit any information related to that Connected Person. Other CPs reported in the system by any other DP would not be visible to him.

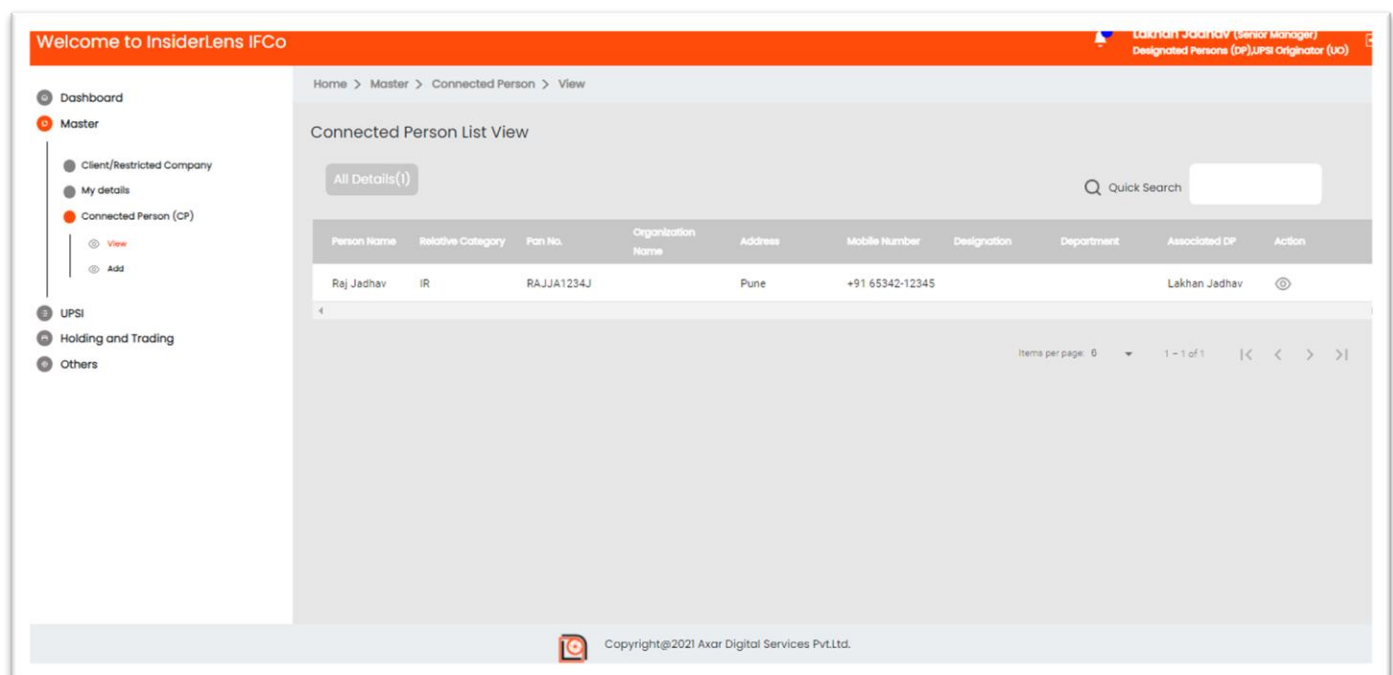


Figure 2.3.1: View Connected Person List

Adding Connected Person

DP can add the name and details of all connected persons related to them. The details would include the basic information and other ID details of Connected Person. Below figure shows the 'Add' screen for connected person. DPs login can add the connected person details in the form of 3 subcategories i.e., Immediate Relatives (IR), Material Financial Relationships (MFR) and Other Entities (OE) by selecting connected person category.

Figure 2.3.2: Add Connected Person

While inserting connected person (IR/MFR), there is an option 'whether employee or not'. If you select 'Yes' then you get the options to add designation and department of the connected person and vice versa.

Also, CO/DP can be able to add **Common Connected Persons (CP)** with whom they are connected (who has the same PAN) using “Check Connected Person PAN” button. Here while adding common CP, all the data related to him/her will be imported from previous DP’s login where the same person has already been added as a CP(IR/MFR/OE).

Adding Connected Person (Immediate Relatives)

As per PIT Regulation “Immediate Relative (IR)” means a spouse of a person, and includes parent, sibling, and child of such person or of the spouse, any of whom is either dependent financially on such person or consults such person in taking decisions relating to trading in securities.

DP can add the name and details of all their IRs. Such details would include the basic information, designation, department, ID details etc.

Provision to add “Guardian’s PAN” number if connected person (Immediate relative) is **Minor**.

Adding Connected Person (Material Financial Relationship)

As per PIT Regulations “Material Financial Relationship” shall mean a relationship in which one person is a recipient of any kind of payment such as by way of a loan or gift during the immediately preceding twelve months, equivalent to at least 25% of such payer’s annual income but shall exclude relationships in which the payment is based on arm’s length transactions.

DP can add the name and details of all persons with whom they have material financial relationships. The details would include the basic information, designation, department, ID details etc.

Adding Connected Person (Other Entities)

“Other Entities” means the person or entities which do not fall under MFR/IR are added under Other Entities. For e.g., Statutory Auditors, Bankers etc.

Managing UPSI Shared Details

'Unpublished Price Sensitive Information' or 'UPSI' means any information which is not available for the public or undisclosed information about the Company or its Securities, that could materially affect the price of the Securities and the financial results. Any person in possession of UPSI information is not permitted to trade under the PIT Regulations. For example, UPSI will include information related to the following:

- Dividends
- Change in capital structure.
- Mergers, de-mergers, acquisitions, delisting’s, disposals and expansion of business and such other transactions
- Changes in key managerial personnel. Etc.

DP can share UPSI details with all **DPS** in the system along with his/her connected **CP (IR)s** and **CP (MFR)s** and with **all CP (OE)s** added by any DP.

Viewing UPSI shared details

From DP Login, DP can view list of all UPSIs shared with him/her and UPSIs shared by him/her with all the details along with Client/Restricted company name and the external person’s name from whom the UPSI is received, as shown in below figure 3.1.

Further, shared UPSIs can be again shared with other DPS/CPs till the date of disclosure. Only the person who has shared UPSI can edit the shared UPSIs. **Search** feature is also provided to search the specific UPSIs. Made provision that- Modification/deletion of entries can be initiated only by the person who made the original entry.

Welcome to InsiderLens IFCo

Home > UPSI > UPSI Shared Details > View

UPSI Shared Details List

All Details(13)

Quick Search

Client/Restricted company name	Shared by	External Person Name	Date of sharing of UPSI	Persons shared with	Category of UPSI	Closure/ Disclosure Date	Timestamp	Modified At	Action	Record ID
Nykaa Ltd	Pooja Gunani (POOJA1234G)	Vinod Junghare	25-06-2023	Lakhan Jadhav, Robert Jones	Others	27-06-2023	27-06-2023 13:14:29	27-06-2023 13:15:32		165
Nykaa Ltd	Pooja Gunani (POOJA1234G)	Vinod Junghare	01-02-2022	Lakhan Jadhav, Robert Jones	Others	-	27-06-2023 13:14:29	-		165
Indian Overseas Bank	Shankar Patil (SHANK1234P)	Jayshree Pathak	23-06-2023	Pooja Gunani, Lakhan Jadhav	Financial Results	-	23-06-2023 16:27:12	-		159
Bajaj Electricals Ltd	N.A	Janak Pallod	22-06-2023	Swapnil Rajput, Lakhan Jadhav	Financial Results	-	22-06-2023 15:33:15	-		157
United Spirits Ltd	Swapnil Rajput (SWAPN1234R)	Savita Rathi	21-06-2023	Robert Jones, Lakhan Jadhav	Financial Results	-	22-06-2023 12:27:12	-		156
Hindustan Uniliver Ltd	Shankar Patil (SHANK1234P)	Sandesh More	19-06-2023	Pooja Gunani, Lakhan Jadhav, Kranti Patil	Financial Results	-	19-06-2023 15:44:30	-		153

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Figure 3.1: List of UPSI shared details

Adding UPSI shared details

The tab is available to only those Users i.e., CO and DPs to whom one more role of **UPSI Originator** is assigned. Only CO has the authority to assign the role to any user. If any DP wishes to add details of the UPSI shared, he/she can request the CO to assign the UPSI Originator role.

Once assigned, the person would be able to add new UPSI shared details in the system by selecting respective Client/Restricted company name and External person name, from whom the UPSI is received along with the person names with whom they are sharing the UPSI data. By default, if the company chooses all DPs can be assigned this role in advance. The Add window is as shown in given below figure 3.2.

Welcome to InsiderLens IFCo

Home > UPSI > UPSI Shared Details > Add

UPSI Entry/Edited Details

Client/Restricted company name (PAN)*

Select

External Person Name *

Type here

External Person PAN *

Type here

Date of sharing of UPSI *

DD/MM/YYYY

Details of UPSI shared *

Type here

Category of UPSI *

Select

Attachment

No file uploaded yet.

☐ I Agree *

External Person Email id *

Type here

External Person Mobile No. *

Type here

Persons (PAN) shared with *

Select

Legitimate purpose of sharing UPSI *

Type here

Closure/ Disclosure Date

DD/MM/YYYY

Browser

Create

Figure 3.2: Add UPSI shared details.

Managing Holdings Disclosure

Disclosures in the system means disclosure of information of securities held by DP/ CP. The user can add information related to securities held by them in the respective Client/Restricted company. The information includes the Client/Restricted company name, Date of Disclosure, ISIN, Balance of securities held and type of disclosure (Annual/Half Yearly/Quarterly/Monthly/Fortnightly/Weekly). The DP would be able to add disclosure for their own holdings along with the disclosures of their CP (IR).

Viewing Holdings Disclosure Details

The DP will be able to view only his/her disclosures for respective Client company name along with disclosures given by him/her on behalf of his/her CP(IR)s, view for a DP would be as shown in Figure 4.1.1 below.

Welcome to InsiderLens IFCo

Lakhan Jadhav (Senior Manager)
Designated Persons (DP), UPSI Originator (UO)

Home > Holding And Trading > Holding Disclosure > View

Holding Disclosure View

All Holding Disclosure list(4)

Quick Search

Client company name	Name of person	ISIN(Instrument Name)	Disclosure Date	Securities Held	Type of Disclosure	Added By
Hindustan Petroleum Corporation Ltd.	Self	Hindustan petroleum Corporation Ltd	01-04-2023	1200	Annual	Lakhan Jadhav
Nykaa Ltd	Self	Nykaa	01-04-2023	9685	Annual	Lakhan Jadhav
Nykaa Ltd	Raj Jadhav (CP)	Nykaa	01-04-2023	9655	Annual	Lakhan Jadhav
Urja Global Ltd	Self	Urja Global Ltd	10-05-2023	1300	Annual	Lakhan Jadhav

Items per page: 6 1 - 4 of 4

Figure 4.1.1: Holdings Disclosure Details list

Adding Holdings Disclosure Details

Under the 'Add for Self/CP' option of the Holdings Disclosure tab, DP can add disclosures for themselves and disclosures on behalf of their CP(IR). DP must give details of Client/Restricted company name, Date of Disclosure, ISIN, Balance of securities held, and type of Disclosure. Add Holdings Disclosure window is as shown in figure 4.1.2.

Welcome to InsiderLens IFCo

Home > Holding And Trading > Holding Disclosure > Add

Holding Disclosure

Disclosure for *

☒ Self ☐ CP (IR)

Client/Restricted company name *

Select

Date of Disclosure *

DD/MM/YYYY

ISIN *

select

Balance of securities held *

Type here

Type of disclosure

Annual

☐ I Agree *

Create

Figure 4.1.2: Holdings Disclosure Details Add for self/CP screen.

Managing Pre-clearance Request

Under Pre-clearance Request tab, the DP would be able to submit pre-clearance requests to CO and the CO would be able to approve/disapprove/partially the same.

Viewing pre-clearance request list

From DP Login, the DP can view all the requests made by him/her and can also view the approval/disapproval/partial approval status when CO has acted on the same. In case of disapproval or partial approval, the DP can view the reason of disapproval or partial approval.

Welcome to InsiderLens IFCo

Home > Holding And Trading > Pre-clearance Requests > View

All Pre Clearance Requests List(1)

Quick Search

Company Name	Pre clearance Request ID	Name of Requester	Requested for	Possess UPSI	Date of Request	Approved Last Date of Trading	Type Of Security	Buy/Sell/Hedge	Quantity Requested	Quantity Approved	Estimated transaction value	Status Of Request	Reason for disapproval / partial approval	Action
Hindustan Petroleum Corporation Ltd.	146	Lakhan Jadhav	Self	Yes	25-07-2023	03-08-2023	Hindustan petroleum Corporation Ltd	Buy	5000	0	25000	Pending	-	

Items per page: 6 1 - 1 of 1

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Figure 4.2.1: Pre- clearance request view screen

Adding pre-clearance request

Under the Pre-clearance Request Add tab, the DP can submit pre-clearance request to CO or to Secondary approver. The details to be added when making a pre-clearance request are Company name, Date of Request, type of security, quantity requested, type of trade i.e., Buy, Sell or Pledge, ISIN, proposed last date of trade, Estimated Transaction Value etc.

If DP holds UPSI and while requesting pre-clearance, if selects **Possess UPSI** as 'No' despite of holding, then system throws an alert saying, "You already hold UPSI."

Figure 4.2.2: Pre-clearance request add screen.

Managing Intimation of Trade

As per the PIT Regulations, the Insider should inform the Company about specific trades defined under Reg. 7 within two days of undertaking the trade. Under this tab, the DP can intimate details of the trade as and when undertaken. DP can also add trade intimations for their CP(IR)s as well. Beyond the Reg 7 requirement of informing the CO, the company may require all DPs to inform the CO about all trades, to prevent (and where too late, identify and report) violations of regulations relating to Contra Trade and breaching the Rs 10 lakh trading ceiling.

90% threshold limit alert to DP. This is depending upon the value set in the Threshold details provided on **Company Details Tab**. The system sends a limit alert to the DP when the designated person exceeds 90% of the threshold limit by doing entries in trade information.

Viewing trade intimation

DP can view the trade intimation records of their own along with all their CPs so that he can get clear idea about shareholdings of various CPs.

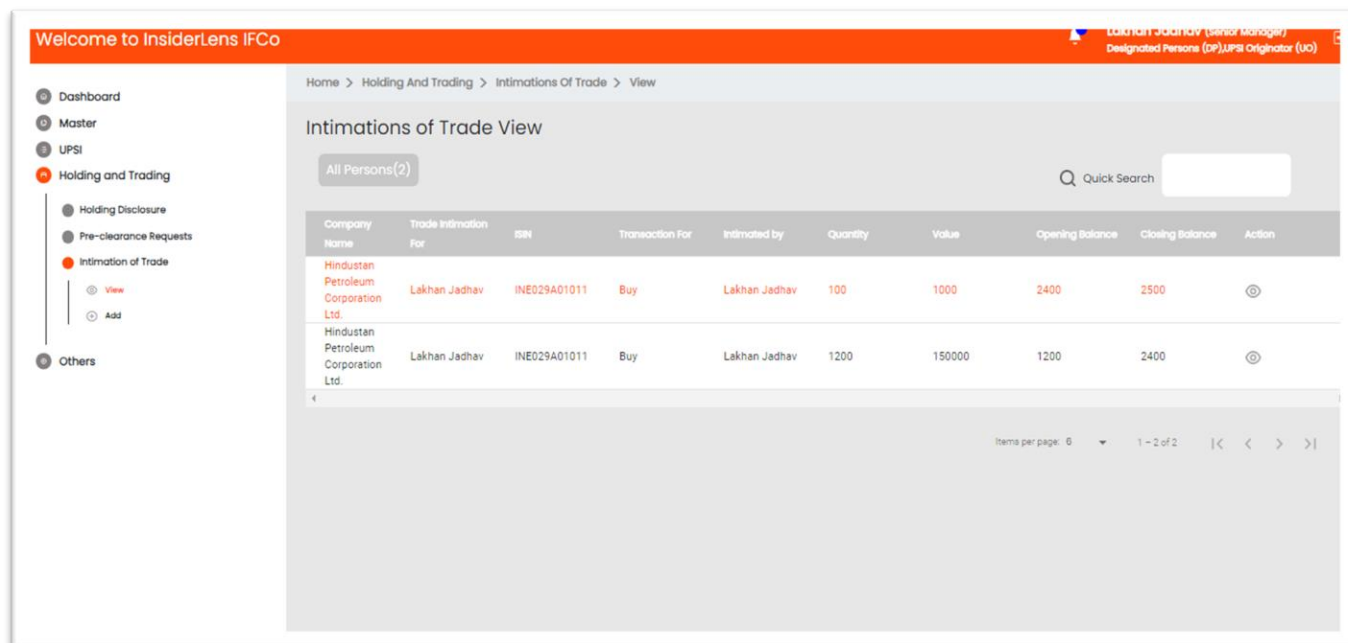


Figure 4.3.1: Intimations of Trade view screen

Adding trade intimation

Under the Add Trade Intimation, the DP has the option of adding trade intimation either for himself/ herself or for his/her Connected Person (Immediate Relatives). The DP can also inform in the same trade intimation whether pre-clearance for the trade was obtained or not.

Figure 4.3.2: Intimations of Trade add screen.

Managing Reference Documents

CO can add any document which is relevant in reference to the Insider trading regulation it can be SEBI's Circular on PIT, Industry News related to PIT etc.

Viewing reference documents list

DP can view the uploaded reference documents as shown in below fig 5.1.

Provided option to allow/disallow the reference documents access to all Designated persons by CO.

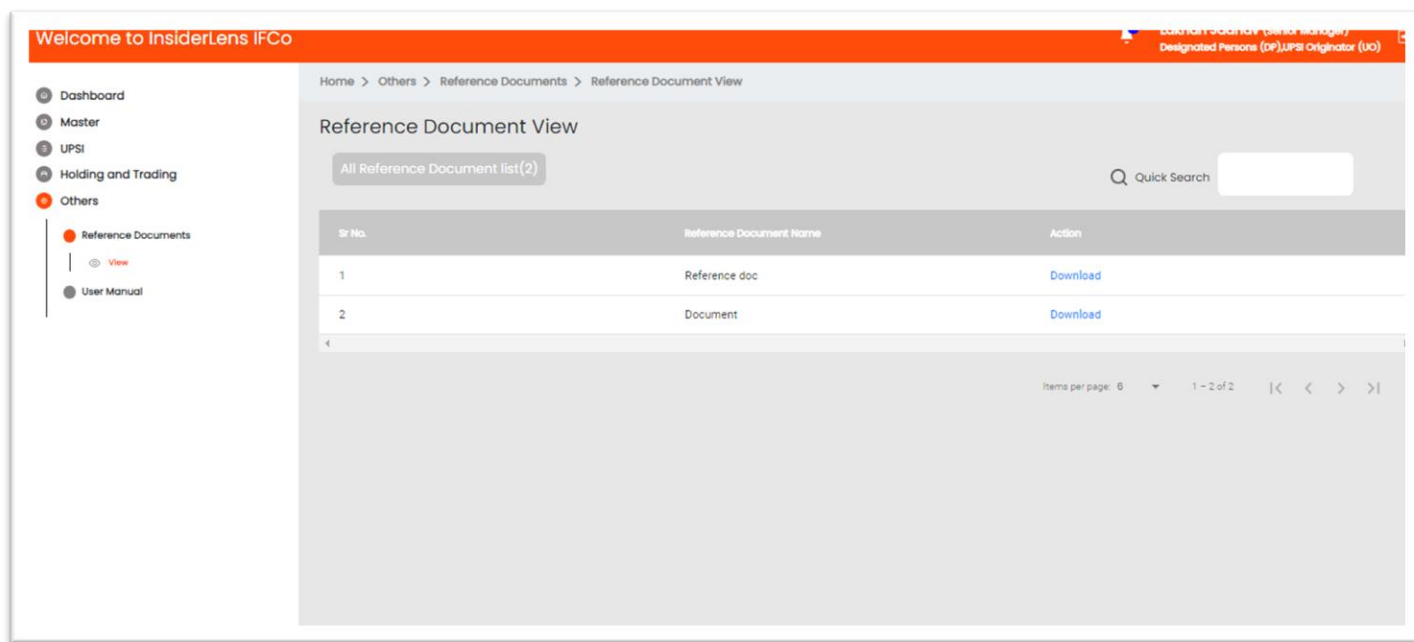
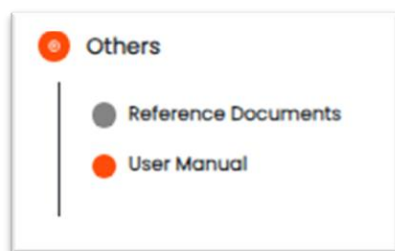


Figure 5.1: Reference document view screen

User Manual

By clicking on this tab DP can view the IFCo user manual which provides detailed documentation that how to use the IFCo software.



Abbreviations

PIT – Prohibition Insider Trading

CO – Compliance Officer

DP – Designated Person

CP – Connected Person

OE – Other Entities

IR – Immediate Relatives

MFR – Material Financial Relationship

UPSI – Unpublished Price Sensitive Information

ISIN – International Securities Identification Number

TWC – Trading Window Closure

PC – Personal Computer

LAN – Local Area Network

OS- Operating System